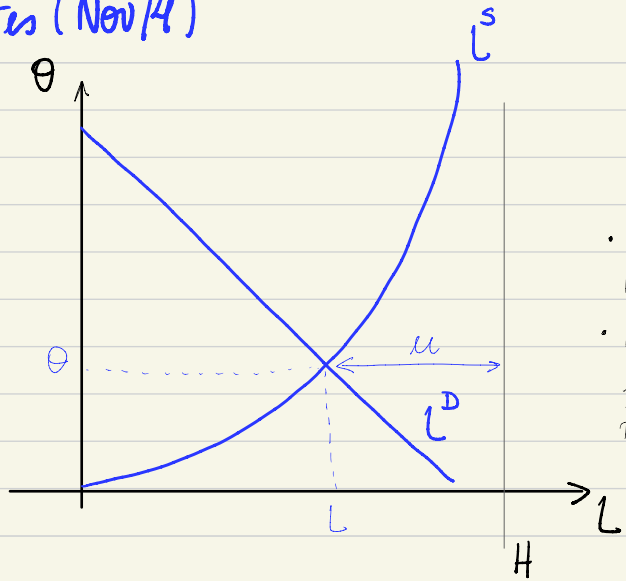
Econ 182

Notes (Nov/4)



1) Why the L^D is downward sloping in this diagram?

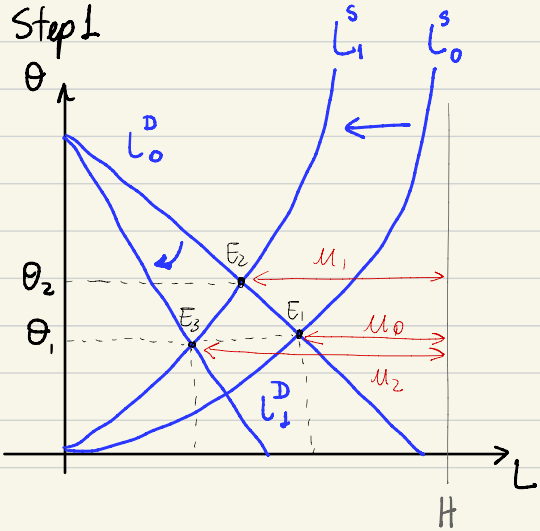
- When θ is high, it's costly to hire workers.
- As the labor market becomes less tight, it becomes less expensive to hire workers.

2) Why is the L^S upward sloping?

- When θ is high, it means that vacancies are abundant in the economy.
- As θ increases, it gets easier to find a job.

3) How was the labor market impacted by Covid?

Step 1



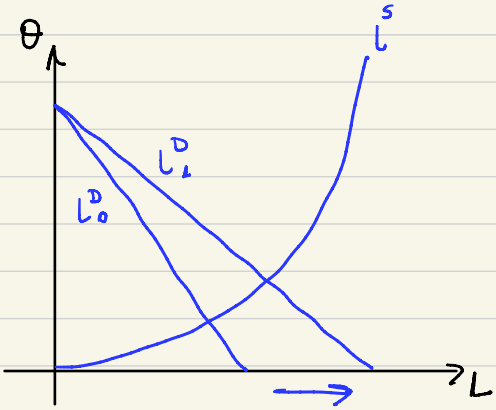
1) $L_0^S \rightarrow L_1^S$ in 2020Q2
It corresponds to the shutdown time.

2) $u_0 \rightarrow u_1$
Increase in the unemployment.

3) $L_0^D \rightarrow L_1^D$
Decrease in the labor demand, as businesses were forced to close.

4) $u_1 \rightarrow u_2$
Further increase in the unemployment.

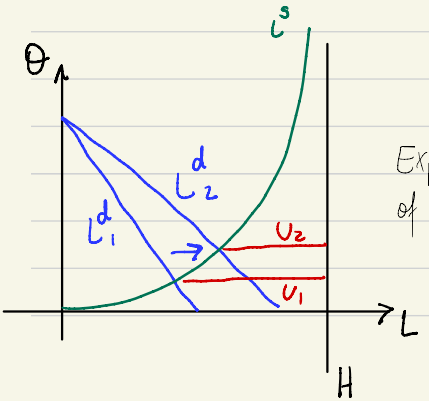
Step 2



Due to the stimulus checks and to the increased economic activity.

We can also discuss the policy impact of the stimulus checks, among others, that might have contributed to a higher inflation rate and a very heated labor market. How big such a stimulus to the economy should be? Only very recently, the inflation rate has subsided and the labor market has gone closer to what it used to be pre-pandemic.

4) Shimer's paper: In theory, we would expect the labor demand curve to change as a consequence of labor productivity, for instance. But, in reality, the labor demand curve does not move much in its turn. Hence, it has very little impact on employment.



Expected shift in the L^d curve as a consequence of ↑ a. However, the L^d movement barely moves in reality.